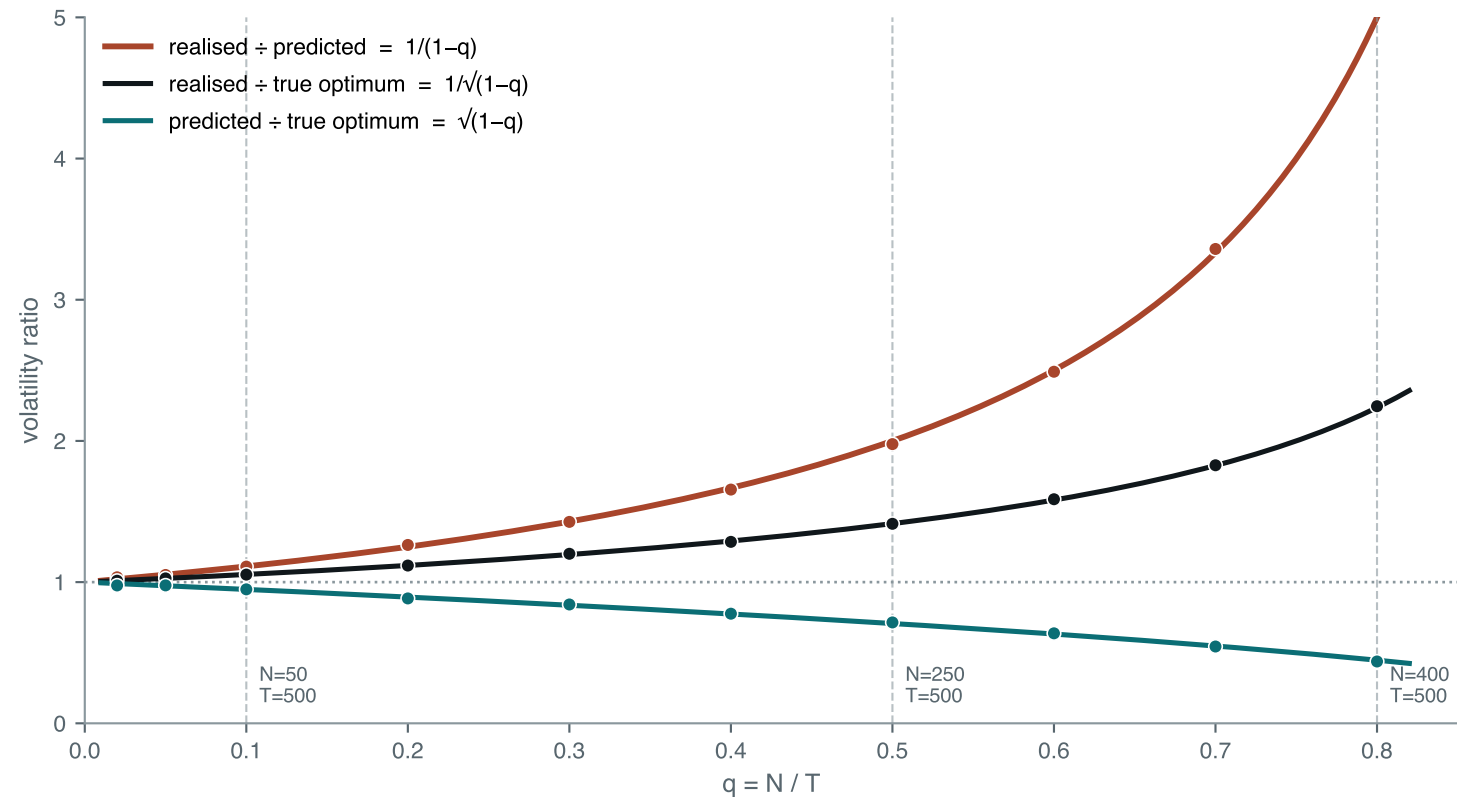


Minimum-variance portfolio risk against the aspect ratio (lines: theory, dots: simulation)



The optimiser is simultaneously understating its own risk and taking more of it. Both errors come from the same place, and they compound.